25STCV28258 25STCV28258

County: los-angeles

Division: Civil Law and Motion

Department: 734

Hearing date: 2026-06-25

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Case Number: 25STCV28258 Hearing Date: June 25, 2026 Dept: 734

The

following tentative ruling is issued pursuant to Rule of Court 3.1308 at 3:27 PM on June 22, 2026.

Notice

of intent to appear is REQUIRED pursuant to California Rule of Court

3.1308(a)(1). The Court does not desire

oral argument on the motion addressed herein.

As

required by Rule 3.1308(a)(1), any party seeking oral argument must notify ALL

OTHER PARTIES and the staff of Department 734 by 4:00 p.m. on June 24, 2026.

Notice to Department 734 should be sent by

email to , with opposing parties copied on the email. The high volume of telephone calls to

Department 734 may delay the Court’s receipt of notice, so telephonic notice to

213-830-0776 should be reserved for situations where parties are unable to give

notice by email.

Per

Rule of Court 3.1308, the Court may not entertain oral argument if notice of

intention to appear is not given.

Plaintiff

alleges that Defendant has refused to pay insurance policy benefits relating to

property damage.

Defendant

California Fair Plan Association demurs to the Complaint and moves to strike portions

thereof.

TENTATIVE RULING

Defendant

California Fair Plan Association's demurrer to the Complaint is SUSTAINED with leave

to amend as to the first and second causes of action.

Defendant's

motion to strike is GRANTED with leave to amend as to the following: Page 4, Question 13: "Punitive damages for pain

and suffering"; Page 5, BC-6: "Seeking punitive damages $85,000"; Page 6, BC-6:

"Seeking $85,000 punitive damages"; Page 7, BC-6: "Asking 85,000 loss rental for

2 years at 2,500 per month. Punitive damages" Pages 16-19 (as to punitive damages

only)

Defendant's

motion to strike is DENIED as to the following: Page 7, BC-6: “Asking 85,000 loss rental for 2 years at 2,500 per month. Punitive damages” Pages 16-19 (as to loss of rental value only); Declaration MC-031

Plaintiff is given 30 days’ leave to amend.

ANALYSIS

Demurrer

Request For Judicial Notice

Defendant requests that the Court take judicial notice of The FAIR Plan’s Dwelling Policy issued to Plaintiff Martha Castaneda-Guerra.

The request is DENIED. This is evidence extrinsic to the Complaint and it is not undisputed that this is the applicable policy which forms the basis of Plaintiff’s Complaint.

“A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed (Code Civ. Proc., §§ 430.30, 430.70). The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action [citation].” (SKF Farms v. Superior Court (1984) 153 Cal. App. 3d 902, 905 [200 Cal. Rptr. 497].)

(Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Meet and Confer

The

Declaration of Stacy R. Goldscher reflects that Plaintiff did not respond to meet

and confer efforts. This satisfies the meet and confer requirement set forth in

Civ. Proc. Code § 430.41.

Discussion

Defendant

California Fair Plan Association demurs to the Complaint as follows:

1. First

Cause of Action (Breach of Contract).[1]

Defendant

argues that Plaintiff has failed to set out the terms of the contract verbatim or

attach a copy of the written contract to the Complaint, nor has she pled the legal

effect of its terms. Nor has Plaintiff alleged which terms were breached, the date

of loss, the date of discovery of the loss, the date the FAIR Plan was provided

notice of the claims or the language of the policy governing the coverage for the

damage alleged.

Although older case law states that “[i]f

the action is based on an alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written instrument

must be attached and incorporated by reference." (Otworth v. Southern Pac. Transportation Co. (1985) 166 Cal. App. 3d 452, 458-459),

the modern view is to permit a plaintiff to plead the legal effect of a written

contract rather than its precise language:

The Wise court stated, "where a written instrument is the foundation of a

cause of action, it may be pleaded in haec verba by attaching a copy as an exhibit

and incorporating it by proper reference." (Wise, at p. 59.) It is readily apparent

that the Otworth court read more into that statement than is actually there. The

Wise court was simply stating one available method of pleading the contract—it was

not specifying the exclusive means of pleading a contract. The correct rule is that

"a plaintiff may plead the legal effect of the contract rather than its precise

language." (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002)

29 Cal.4th 189, 199 [126 Cal. Rptr. 2d 908, 57 P.3d 372].) Because it is apparent

that the Otworth court misread Wise , and because, in any event, we are bound by

our Supreme Court, we decline to follow Otworth. Accordingly, plaintiff's failure

either to attach or to set out verbatim the terms of the contract was not fatal

to his breach of contract cause of action.

(Miles v. Deutsche

Bank National Trust Co. (2015) 236 Cal.App.4th 394, 402.)

Here, however, Plaintiff does not even

plead the legal effect of the relevant policy such that there was coverage for the loss which she claims. This ground for demurrer is persuasive. Plaintiff must attach the relevant policy or quote its language verbatim or carefully and completely according to legal effect.

Defendant

also argues that this cause of action is barred by the one-year limitations period set forth in Insurance Code § 2071.

The ordinary statute of limitations for breach of a written contract is four years. (Code Civ. Proc., § 337.) Insurance claims for property damage, however, have a one-year limitation period. (Ins. Code, § 2071[2].) We explained: “The short statutory limitation period . . . is the result of long insistence by insurance companies that they have additional protection against fraudulent proofs, which they could not meet if claims could be sued upon within four years as in the case of actions on other written instruments. (Code Civ. Proc., § 337.)

(Vu v. Prudential Property &

Casualty Ins. Co. (2001) 26 Cal. 4th 1142, 1148.)

Here, Plaintiff

alleges that she was told that, as of June 25, 2025, her claim had been closed over two years ago. (Handwritten attachment to Complaint, Page 1.) As such, on the face of the Complaint, Plaintiff’s claims are time-barred by the one-year limitations period set forth in Ins. Code, § 2071.

As such, the

demurrer to the first cause of action is SUSTAINED with leave to amend.

2. Second

Cause of Action (Breach of Implied Covenant of Good Faith and Fair Dealing)[3].

Defendant

argues that there was no breach of contract, so there can be no bad faith breach.

Defendant

also argues that Plaintiff does not allege unreasonable conduct related to Defendant's

handling of the claim.

Defendant

also argues that this cause of action is barred by the one-year limitations period

set forth in Insurance Code § 2071.

To establish bad faith, a policy holder must demonstrate misconduct

by the insurer more egregious than an incorrect denial of policy benefits. "The

law implies in every contract, including insurance policies, a covenant of good

faith and fair dealing." (Citation omitted.) The obligation imposed on the insurer

under the covenant "'is not the requirement mandated by the terms of the policy

itself … . It is the obligation … under which the insurer must act fairly and in

good faith in discharging its contractual responsibilities.'" (Citations omitted.)

In the context of a bad faith claim, “an insurer’s denial of or delay in paying benefits gives rise to tort damages only if the insured shows the denial or delay was unreasonable.” (Citation omitted.)

Under this standard, “an insurer denying or delaying the payment of policy benefits due to the existence of a genuine dispute with its insured as to the existence of coverage liability or the amount of the insured’s coverage claim is not liable in bad faith[,] even though it might be liable for breach of contract.” (Citation omitted.) That is because “whe[n] there is a genuine issue as to the insurer’s liability under the policy for the claim asserted by the insured, there can be no bad faith liability imposed on the insurer for advancing its side of that dispute.” (Citation omitted.)

(Case v. State Farm Mut. Auto. Ins. Co., Inc. (2018) 30 Cal. App. 5th 397, 402.)

Moreover:

As a general rule,

as the trial court recognized, there can be no breach of the implied covenant of good faith and fair dealing if no benefits are due under the policy: “[T]he covenant is based on the contractual relationship between the insured and the insurer. … Absent that contractual right [to policy benefits], the implied covenant has nothing upon which to act as a supplement, and ‘should not be endowed with an existence independent of its contractual underpinnings.’ “ (Citations omitted.)

(Brehm v.

21st Century Ins. Co. (2008) 166 Cal.App.4th 1225, 1235.)

As

discussed above, Plaintiff has not sufficiently pled that policy benefits were due.

Moreover, this cause of action is time-barred by one-year limitations period

set forth in Ins. Code, § 2071.

The

demurrer to the second cause of action is SUSTAINED with leave to amend.

Motion To Strike

Meet and Confer

The

Declaration of Stacy R. Goldscher reflects that Plaintiff did not respond to meet

and confer efforts. This satisfies the meet and confer requirement set forth in

Civ. Proc. Code § 435.5.

Discussion

Defendant

California Fair Plan Association moves to strike the following portions of the Complaint.

The Court will only address the following portions of the Complaint specified in

the Notice of Motion, and will not rule upon other allegations such as attorney’s

fees, which were not specified in the Notice of Motion.

1. Page 4, Question 13: “Punitive damages for pain and suffering”

GRANTED

with leave to amend. For the reasons discussed above, the Complaint does not sufficiently

pled the tort claim of bad faith breach.

2. Page 5, BC-6: “Seeking punitive damages $85,000”

GRANTED

with leave to amend. For the reasons discussed above, the Complaint does not sufficiently

pled the tort claim of bad faith breach. Additionally, Civil Code § 3295(e)

provides: “No claim for exemplary

damages shall state an amount or amounts,” so to the extent that an amended complaint alleges a tort claim of bad faith breach, no amount of exemplary damages may be pled

3. Page

6, BC-6: “Seeking $85,000 punitive damages”

GRANTED

with leave to amend. For the reasons discussed above, the Complaint does not sufficiently

pled the tort claim of bad faith breach. Additionally, Civil Code § 3295(e)

provides: “No claim for exemplary

damages shall state an amount or amounts,” so to the extent that an amended complaint alleges a tort claim of bad faith breach, no amount of exemplary damages may be pled.

4. Page

7, BC-6: “Asking 85,000 loss rental for 2 years at 2,500 per month. Punitive damages”

Pages 16-19:

GRANTED

with leave to amend as to punitive damages. For the reasons discussed above, the

Complaint does not sufficiently pled the tort claim of bad faith breach. Additionally,

Civil Code § 3295(e) provides: “No claim for exemplary damages shall state an amount or amounts,” so to the extent that an amended complaint alleges a tort claim of bad faith breach, no amount of exemplary damages may be pled.

DENIED as to loss of rental value. The

motion does not specify a basis to strike this allegation.

5. Declaration

MC-031

DENIED.

Because

a Declaration is not essential to the allegations of the Complaint, this may simply

be treated as allegations, which need not be sworn statements.

Plaintiff

is given 30 days’ leave to amend.

[1] The

attachments at the end of the Complaint appear to assert a breach of written contract

cause of action.

[2]

Suit

No suit or action on this policy

for the recovery of any claim shall be sustainable in any court of law or

equity unless all the requirements of this policy shall have been complied

with, and unless commenced within 12 months next after inception of the loss.

If the loss is related to a state of emergency, as defined in subdivision (b)

of Section 8558 of the Government Code, the time limit to bring suit is

extended to 24 months after inception of the loss.

(Ins. Code § 2071.)

[3] ¶ 10 of

the Compliant alleges “bad faith, breach of duty, unreasonable failure to pay

claim, and investigate claim.” This all comes within a claim for breach of the

implied covenant of good faith and fair dealing.